

MERTON DAILY BRIEF

Macro Report - Friday, June 26, 2026

Headline of the Day

Global Tech Sell-Off Deepens: Korea Kospi -8%, Nasdaq 4th Down Day, S&P 500 Futures -1.5%

Apple (+20% MacBook/iPad prices) triggers Asia tech selloff. Micron +15% on earnings but market doesn't care. WTI crude at \$70.71 (-5.5%) despite Hormuz incident - market pricing resolution. Gold at \$4,032 (-3.7%) betrayed by tech sell-off and higher rate bets. VIX at 18.89 (+9%) - complacency evaporating fast.

Global Sentiment

Indicator	Level	Change	Signal
VIX	18.89	+9.0%	Neutral-bearish
DXY	101.38	+0.35%	Neutral
Gold	\$4,032.10	-3.7%	Paradoxical risk-off
US 10Y	4.392%	-1.3%	Yield declining
US 30Y	4.858%	-0.9%	Neutral
S&P 500	7,357.49	-0.85%	Selling
NASDAQ	25,358.60	-2.6%	Tech sell-off
WTI	\$70.71	-5.5%	Oil declining
Brent	\$74.37	-4.6%	Oil declining
BTC	\$59,710	-6.6%	Crypto risk-off
Copper	\$6.0635	-4.6%	Industrials
Silver	\$56.79	-13.4%	Brutal sell-off

Read: The market is in accelerated risk-off mode. Tech selling (Apple pricing power → demand destruction fears) combines with oil declining despite Hormuz tensions - signaling the market is pricing a rapid conflict resolution. Gold is falling despite everything: traders need liquidity to cover tech losses/margin calls. This is a classic "dash for cash." VIX at 19 is not yet panic territory but the trajectory is clear.

Macro - What Moved

US

- ****Fed Chair Warsh's first meeting**** - Warsh replaces Powell and immediately signals he won't cut rates while inflation is "too high." Market now pricing 0 cuts in 2026, vs 2 expected in May. This is a major hawkish shift.
- ****Wholesale prices +1.1% in May**** (vs +0.7% expected) - driven by energy surge. Core PCE at 3.3% YoY.

Inflation is sticky and the market is starting to recognize it.

- ****Job openings at 7.6M in April**** (vs 7.1M expected) - highest in 2 years. Labor market remains tight, giving the Fed no reason to cut.
- ****Goolsbee (Chicago Fed): "inflation too high" vs **Williams: "price pressures easing" - divergence within the Fed. Warsh leans clearly hawkish.**
- ****Nasdaq 4th consecutive decline**** - tech bubble popping? Apple pricing +20% on hardware is the catalyst. Hyperscalers realizing AI demand = more expensive memory → margin compression.
- ****S&P 500 at 7,357**** - down 0.85%, key support at 7,200. If broken, 7,000 psychological level.

Europe

- ****Bank of England holds rates at 3.75%**** - amid Iran war peace prospects. UK inflation steady at 2.8% May. UK economy shrank 0.1% April - Iran conflict weighing.
- ****UK PM Starmer reportedly ready to quit**** - Reuters source says he is "focused on job" and could announce as early as Monday. Political instability in UK.
- ****Meloni redesigns Italy's election rules**** - to stay in power. Political risk in Italy if markets lose confidence.
- ****Extreme heat grips Europe**** - red alerts UK, France, Spain, Italy. Negative agricultural and energy impact.

China

- ****China poaches more AI talent from US**** - Beijing actively recruiting US AI researchers. Long-term consequence: brain drain toward China.
- ****China's collapsing crude oil imports**** - falling further in June. Chinese demand weakening, weighing on global oil prices.
- ****PBOC may set new overnight operation rate at 1.35%**** - monetary easing continues. China stimulating domestically.

EM & Asia

- ****Korean Kospi -8%, trading halt**** - Apple price hikes spark Asia tech selloff on memory cost concerns. Samsung and SK Hynix directly impacted.
- ****Asian stocks slump to 2-week low**** - tech rout + memory cost fears. Lingyi iTech rises in Hong Kong debut (contrarian signal?).
- ****Tokyo inflation picks up**** - keeping BOJ on track for further hike. Yen outperforms G-10 peers despite hovering near 1986 low.
- ****Banxico to hold rate**** - flags economic weakness. Mexico in stagnation.
- ****India weak monsoon**** - next economic worry after oil. RBI proposes wider access to Indian money markets.

Geopolitics

Hot

- ****Ship struck in Strait of Hormuz**** - Oil supertankers turn back again. 3 Iranian tankers managed to exit US

blockade. Market pricing 90% chance traffic does NOT return to normal by end of June (Polymarket).

- ****Trump claims Iran deal is "unconditional surrender"**** - says his power "has no limits" (Axios). US issues sweeping Iran oil sanctions waivers - unlocking billions for Tehran. This is a de facto sanctions relief.
- ****Zelenskyy orders 40-day campaign**** to influence Russia to end war. Escalation tactic or real negotiation strategy?

Watch

- ****Starmer resignation possible Monday**** - UK in political limbo. Impact on post-Brexit trade negotiations and market confidence.
- ****Netanyahu entry into Iran by June 30?**** - Polymarket says 99.85% against. But if it happens = massive escalation.
- ****Iraq pushes OPEC to let it pump more oil**** - if approved = downward pressure on oil. TotalEnergies forced to account for greenhouse gas emissions (court ruling).

Positive

- ****US-Iran sanctions waivers**** - signal of de-escalation. Market interprets this as moving toward resolution.
- ****Three Iranian tankers exit US blockade**** - shipowners eye Hormuz in "wary disbelief." Situation slowly normalizing.
- ****Philippines, UAE, Indonesia start CPTPP accession talks**** - trade integration positive for EM Asia.

FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1382	-0.7%	
GBP/USD	1.3205	-0.02%	
USD/JPY	161.56	+0.08%	
USD/CHF	0.8087	+0.09%	

Analysis: EUR/USD under pressure - double effect risk-off (flee to USD) + EU/UK political instability. GBP holds up remarkably well despite possible Starmer resignation, supported by BoE rate at 3.75%. Yen outperforms despite historically low level - carry trade unwinding + safe haven demand. USD/CHF barely moves - Swiss franc also in safe haven demand but dollar absorbs the flow.

Pair to watch: EUR/USD - key support at 1.1350. If broken → 1.1280 (61.8% fib). Hawkish Fed catalyst = further downside. Rebound only if Trump announces full Iran ceasefire.

Commodities

Oil

WTI \$70.71 (-5.5%) | Brent \$74.37 (-4.6%)

Oil falling despite Hormuz incident. Why? 1) Market pricing Iran resolution (sanctions waivers). 2) China demand collapse - crude imports falling. 3) Iraq pushing OPEC for more quota. 4) TotalEnergies court ruling = negative energy sector sentiment. WTI support at \$68 (200-day MA). If broken → \$65.

Gold

Gold \$4,032.10 (-3.7%)

Gold betrayed despite geopolitical tension. Explanation: margin calls in tech → selling gold to cover. + Fed hawkish → higher real rates → gold less attractive. + "Gold was loved and now it's hated" (Carter Worth). Support at \$3,950. If broken → \$3,850 (200-day MA). This is a correction in a bull market, not a reversal.

Silver/Copper

Silver \$56.79 (-13.4%) | Copper \$6.06 (-4.6%)

Silver in crash - excessive correction. Copper down on China demand fears + Mideast supply return (aluminum 4th weekly drop). Silver/Gold ratio at 14.1 - historically gold is expensive relative to silver. Mean reversion opportunity.

Soft

- Extreme heat Europe → agricultural commodities to watch (wheat, corn).
- Empty LNG tankers mass outside Qatar → gas prices under pressure.

Today's Calendar

Time (CET)	Country	Event	Consensus	Previous	Impact
09:00		EU Economic Sentin	-	-12.5	
10:00		IfO Business Climat	85.0	84.5	
14:30		Core PCE (May)	0.2% MoM	0.1%	
14:30		Personal Spending (	0.3%	0.2%	
16:00		Michigan Consumer	67.0	66.8	

Week Ahead (June 30 - July 4)

Day	Key Event
Mon 30	ISM Manufacturing PMI (US), Eurozone CPI
Tue 1	S&P Global Manufacturing PMI, Construction Spending
Wed 2	Fed FOMC Minutes (last Powell meeting)
Thu 3	NFP (Non-Farm Payrolls) - **MAX IMPACT**
Fri 4	US Market Holiday (Independence Day)

Deep Macro Theme

"Tech Deflation" Is Underway - And the Market Doesn't Get It Yet

The consensus is that AI will make everything more productive and Big Tech will keep monetizing. But Apple just proved the opposite: +20% hardware prices = demand destruction. Hyperscalers (Google, Meta, Amazon) realizing AI is expensive (Micron +15% on earnings = rising prices) and consumers can't absorb these hikes.

This is the beginning of tech margin compression. Market still pricing 18% earnings growth for S&P 500 in H2 2026. If margins compress, it's 8-10% max. This implies S&P at 7,357 is still too rich - fair value at 6,800-7,000 if we adjust.

Meanwhile, Iran resolution is in progress (sanctions waivers, tankers exiting). If oil returns to \$65, inflation drops mechanically → Fed can pivot. But Warsh doesn't want to be the one who pivots too early. Risk: a hawkish policy error that crashes the economy to fight inflation that's resolving itself (oil down).

The "why now": confluence of tech bubble popping + Iran resolution + Fed transition. 3 forces converging simultaneously. What could change everything: a geopolitical accident (Hormuz closed) OR an AI breakthrough that justifies valuations.

Consensus vs Reality - THE ALPHA

What the market is pricing:

1. "AI will save growth" - Partially true. AI boosts productivity but also destroys demand (prices too high). Market not pricing demand destruction.
2. "Fed will cut 1-2 times in 2026" - Wrong. With Warsh hawkish and sticky inflation, 0 cuts is the base case. Market still pricing 40% probability of a Sept cut.
3. "Iran will resolve peacefully" - Probable but not guaranteed. Market pricing 80% resolution. But Netanyahu could derail everything.
4. "Oil will rally on Hormuz" - Market pricing the opposite (oil down). Tankers exiting, sanctions being eased. Oil at \$65 by July.
5. "Gold will rally on geopolitics" - Currently wrong. Gold is a liquidity asset in crisis. Must sell to cover elsewhere.
6. "Earnings growth 18% H2" - Too optimistic. If margins compress (Apple pricing = template), it's 8-10%.
7. "China will stimulate and save demand" - PBOC easing but domestic demand structurally weak. Falling oil imports prove it.

The Alpha - Trade Ideas:

1. SHORT NASDAQ / LONG S&P equal-weight - Tech sell-off continues but rest of market (utilities, healthcare, staples) will bounce. Pair trade with RSP/SPY ratio as hedge.
2. LONG Silver / SHORT Gold - Silver/Gold ratio at 14.1 (historical extreme). Silver crashed -13% in one day = oversold. Mean reversion to 12.0 = +17% silver vs gold.
3. SHORT EUR/USD target 1.1280 - Double catalyst: hawkish Fed + EU political instability. Stop at 1.1450.

Risk/reward 2:1.

4. LONG Yen (USD/JPY short target 158) - Carry trade unwinding + BOJ hawkish. Yen is the most undervalued G10 currency. Stop at 163.

5. LONG Volatility (VIX calls or straddle SPX) - VIX at 19 is too low for current stress level. If NFP disappoints Thursday, VIX → 25+. Cheap vol before event risk.

Merton's Take

We're living through a regime shift the market hasn't fully digested yet. The Powell-to-Warsh transition at the Fed isn't just a personnel change - it's a doctrine change. Powell was the "pivot king." Warsh is the "inflation hawk who doesn't compromise." The market will have to recalibrate.

The tech sell-off is the immediate catalyst. Apple raising prices 20% is the canary in the coal mine: consumers are tapped out. Hyperscalers will have to choose between margins and growth. Historically, this always ends in a tech → value/small cap rotation.

For the week's trade: I'm long volatility and short tech. VIX at 19 doesn't reflect the current risk level. Between NFP Thursday and possible Iran escalation, there are enough catalysts for a vol spike. Positioning 1-week SPX straddles.

On the macro side: falling oil is the biggest positive for inflation. If WTI returns to \$65, September CPI will be at 2.4% YoY. At that point, Warsh can pivot. But that's Q4, not before. Until then, trade the range with bearish bias on indices and bullish bias on vol.

Positioning: 40% cash, 20% short tech (via QQQ put spreads), 20% long vol (VIX calls), 10% long yen, 10% long silver. No long S&P until 7,200 support is tested and holds.

Sources Consulted

- Yahoo Finance API - real-time prices all assets
- Bloomberg RSS (markets, economics, politics) - headlines
- FT RSS (home, markets) - headlines
- CNBC (world, economy, federal-reserve, gold) - headlines
- Polymarket API (tag: politics, geopolitics, finance) - prediction market probabilities
- FRED/Trading Economics - economic calendar context